

**IN A COUNTRY WELL GOVERNED,
POVERTY IS SOMETHING TO BE ASHAMED OF.
IN A COUNTRY BADLY GOVERNED,
WEALTH IS SOMETHING TO
BE ASHAMED OF.**

CONFUCIUS, CHINESE PHILOSOPHER

Unequal world

Modern industries and economic systems have brought prosperity to many parts of the world. Advances in technology have made these industries more productive, and careful management of economies has ensured that they continue to grow. Industrialized countries in the developed world have all the goods and services that they need, and more. What they can't produce for themselves, they can buy from elsewhere. In the richest countries, food and other goods are so plentiful that they go to waste. The world is producing more than it's ever done, yet almost half of its population doesn't have any of the comforts of modern life. There are many reasons for this appalling inequality, but the solutions to what has become an international poverty problem can be examined by economics.

How poor is poor?

It's important to understand what we mean when we talk about poverty. Rich and poor are relative terms, and someone who's considered poor in a country such as Norway, for example, would be seen as a rich person in somewhere like Burundi or the Central African Republic. But many international organizations, including the United Nations (UN) and the World Bank,